

This activity blunts the downward momentum and creates a higher minor low. Thus, price begins narrowing on the right side of the diamond.

Eventually, one of the warring parties will win, and overwhelming buying demand or selling pressure will cause price to break out of the diamond pattern. Price continues in the breakout direction until it pauses several points beyond the diamond boundary. For upward breakouts, the pause may be frightening enough that holders sell, driving the price back to the diamond trendline (a throwback).

For downward breakouts, buying demand from traders believing they are getting the stock at fire-sale prices creates a pullback. The smart money knows the score and takes the last opportunity to dump their holdings. This additional selling pressure forces the stock down again, usually for quite some time (weeks to months).

That is the life of a diamond.

Identification Guidelines

How do you identify a diamond bottom? Review the identification characteristics shown in [Table 23.1](#).

The hardest part of identifying any pattern is seeing the shape price makes. For diamonds, they are especially difficult to identify. However, they occur many times at price turning points. Thus, look for diamond bottoms at the end of a downward price trend.

Appearance. When prospecting for diamonds look for price to widen out over time, forming higher highs and lower lows. The price pattern should look like a broadening bottom chart pattern. Then, price narrows, forming lower highs and higher lows. The second half should look like a symmetrical triangle. If you draw trendlines around the minor lows and highs, the result should appear diamond shaped. Don't expect perfection. More likely, the diamond's top or bottom will be pushed to one side as if a gust of wind was playing games.